

POLICY ON DEALING WITH RELATED PARTY TRANSACTIONS

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

**Registered Office: SCO 186-187, 2nd Floor, Cabin No. 206, Sector 8 C, Sector 8
Chandigarh, India, 160009**

RELATED PARTY TRANSACTIONS (RPT) POLICY

(In compliance with Section 188 of the Companies Act, 2013 and Regulation 23 of SEBI (LODR) Regulations, 2015 and other applicable standards)

1. PREAMBLE

The Board of Directors of Astonea Labs Limited (“the Company”) recognizes that transactions with Related Parties may give rise to actual, potential, or perceived conflicts of interest. Accordingly, such transactions require appropriate governance, transparency, and oversight to protect the interests of the Company and its stakeholders.

In order to ensure that all Related Party Transactions (“RPTs”) are conducted in a fair, transparent, and arm’s-length manner, this Related Party Transaction Policy (“Policy”) is formulated in accordance with:

- Section 188 and other applicable provisions of the Companies Act, 2013, along with the relevant rules issued thereunder;
- Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI LODR”), as amended from time to time;
- Indian Accounting Standard (Ind AS) 24 – Related Party Disclosures, or Accounting Standard (AS) 18 – Related Party Disclosures, as applicable;
- Industry-recognized best practices for Related Party Transactions, including RPT Industry Standards 2025; and
- Any other applicable statutory, regulatory, or governance requirements.

This Policy is intended to ensure:

- Transparency and fairness in dealings with Related Parties;
- Proper identification, review, approval, and reporting of Related Party Transactions;
- Compliance with applicable laws, regulations, and corporate governance standards; and
- Protection of the interests of shareholders and other stakeholders.

The Policy provides a structured framework for the identification, approval, monitoring, and disclosure of Related Party Transactions undertaken by the Company and, where applicable, its subsidiaries. It serves as a guide for the Board, Audit Committee, management, and other stakeholders to ensure governance, accountability, and ethical conduct in all Related Party dealings.

2. OBJECTIVE

The objectives of this Policy are to:

- Ensure transparency, fairness, and integrity in all dealings with Related Parties;
- Facilitate ongoing identification, monitoring, documentation, and reporting of Related Party Transactions (RPTs);
- Establish clear accountability within the organization for compliance with the provisions of this Policy, as well as applicable laws, regulations, and accounting standards;
- Protect the interests of the Company, its shareholders, and other stakeholders by preventing conflicts of interest and ensuring transactions are conducted on an arm’s-length basis;
- Ensure compliance with SME-specific thresholds and half-yearly disclosure requirements applicable to SME-listed entities under SEBI LODR 2025.

3. DEFINITIONS

A. “Related Party”

A Related Party refers to any person or entity that qualifies as a related party under the applicable law and regulations, including:

- Section 2(76) of the Companies Act, 2013;
- Regulation 2(1)(zb) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI LODR); and
- Indian Accounting Standard (Ind AS) 24 - Related Party Disclosures, or Accounting Standard (AS) 18 - Related Party Disclosures, as applicable.

This definition includes, but is not limited to, directors, key managerial personnel, their relatives, and entities in which such persons have significant influence or control.

B. “Related Party Transaction (RPT)”

A Related Party Transaction means any transaction, arrangement, or agreement involving the transfer of resources, services, or obligations between the Company (or its subsidiaries) and a Related Party, regardless of whether it is entered into on commercial terms.

Note: All RPTs are subject to the approval and disclosure requirements under Section 188 of the Companies Act, 2013 and Regulation 23 of SEBI LODR, 2015, including thresholds for materiality.

C. “Material Related Party Transaction”

A Material Related Party Transaction (RPT) is any transaction with a Related Party that exceeds the materiality thresholds prescribed under Regulation 23(1) of SEBI LODR, 2015, including applicable amendments for SMEs.

- General RPTs: Transactions exceeding ₹50 crore or 10% of the annual consolidated turnover, whichever is lower.
- Brand usage or royalty transactions: Transactions exceeding 5% of the annual consolidated turnover.

Materiality is assessed individually or cumulatively with previous transactions during the financial year. For SME-listed entities, thresholds under SEBI LODR 2015 apply: general RPTs above ₹50 crore or 10% of annual consolidated turnover, and brand/royalty transactions above 5% of turnover are considered material and require applicable approvals and disclosures.

d. “Arm’s Length Transaction”

An Arm’s Length Transaction is a transaction between the Company (or its subsidiaries) and a Related Party that is conducted on commercial terms equivalent to those prevailing in an open market, such that no undue advantage is conferred on the Related Party.

4. POLICY APPLICABILITY

This Policy applies to:

1. All Related Party Transactions (RPTs) entered into by the Company, including those involving its subsidiaries, joint ventures, and associates.
2. All Material Related Party Transactions as defined under SEBI LODR, 2015, including applicable thresholds and amendments for SMEs.
3. Transactions requiring approval of the Audit Committee, Board of Directors, or Shareholders, in accordance with applicable laws, regulations, and governance practices.
4. Employees, Directors, Key Managerial Personnel (KMP), and other officers involved in the identification, execution, review, or approval of Related Party Transactions.
5. Industry best practices as per RPT Industry Standards 2025, to ensure transparency, fairness, and accountability in the conduct of all RPTs, even where not explicitly required by law.

Note: This Policy provides a structured framework aligning statutory requirements, regulatory compliance, accounting standards (Ind AS/AS), and recognized industry standards, to ensure proper governance, review, approval, and disclosure of all Related Party Transactions.

5. APPROVALS

- A. Audit Committee Approval:** All Related Party Transactions (RPTs), including any subsequent material modifications, shall require prior approval of the Audit Committee. The Audit Committee may grant omnibus approvals for repetitive or routine transactions, subject to conditions prescribed under SEBI LODR. Such omnibus approvals shall specify the Related Party, nature of the transaction, period, maximum value, pricing, and other relevant terms, ensuring arm's-length pricing and fairness. The Committee shall review all omnibus approvals at least quarterly, and these approvals are valid for one financial year, requiring renewal annually. For SME-listed entities, all RPTs approved by the Audit Committee shall additionally be disclosed to the stock exchanges on a half-yearly basis and published on the Company's website. These disclosures shall include details of material RPTs, the rationale, pricing, and terms, in compliance with SEBI LODR, Section 188 of the Companies Act, 2013, and Ind AS 24/ AS-18, ensuring transparency, fairness, and accountability in all Related Party dealings.
- B. Board Approval:** Board approval is required if the RPT falls under Section 188 of the Companies Act, 2013 and is not in the ordinary course of business or not at arm's length.
- C. Shareholder Approval :** Shareholder approval is required for all Material Related Party Transactions (RPTs) as per SEBI LODR thresholds, as well as for transactions where a Related Party has a material personal interest. In such cases, Related Parties shall abstain from voting on resolutions concerning transactions in which they are interested. Certain RPTs of subsidiaries are exempt from shareholder approval in line with SEBI LODR provisions. For unlisted subsidiaries of the Company, prior shareholder approval of the listed entity is not required unless the transaction exceeds the materiality thresholds prescribed under Regulation 23 of SEBI LODR, 2015. In instances where RPTs are inadvertently entered into without prior approval, the Audit Committee may ratify such transactions within three months, subject to applicable SEBI LODR limits for SME-listed entities. This ensures that all Related Party Transactions are conducted in a fair, transparent, and compliant manner, safeguarding the interests of the Company and its stakeholders. Such ratification shall be documented with commercial rationale and pricing, and will comply with SEBI LODR limits applicable to SME-listed entities.

Note: All approvals under this Policy, whether by the Audit Committee, Board, or Shareholders, are subject to compliance with applicable laws, SEBI LODR regulations, Companies Act provisions, and

relevant accounting standards (Ind AS 24 / AS-18), as well as recognized industry best practices, ensuring full transparency, fairness, and accountability in all Related Party dealings.

6. CRITERIA FOR APPROVAL OF RPTs

While evaluating any Related Party Transaction, including those exceeding SME-specific materiality thresholds, the Audit Committee and/or Board of Directors shall consider the following key factors to ensure transparency, fairness, and alignment with the Company's interests:

1. **Ordinary Course of Business:** Whether the transaction is executed in the ordinary course of business of the Company.
2. **Arm's Length Basis:** Whether the transaction is conducted on an arm's-length basis, reflecting terms that would be agreed upon by unrelated parties in the open market, and ensures no undue advantage to the Related Party.
3. **Commercial Rationale and Benefits:** The strategic, operational, and financial benefits to the Company, including alignment with business objectives.
4. **Pricing, Terms, and Market Benchmarking:** Comparison of pricing, terms, and conditions with market standards or independent benchmarks.
5. **Fairness and Reasonableness:** Assessment of the equity, fairness, and reasonableness of the transaction for all stakeholders.
6. **Financial and Operational Impact:** Impact on the Company's cash flows, profitability, operations, and balance sheet.
7. **Potential Conflicts of Interest:** Identification of any actual, potential, or perceived conflicts of interest, including those involving Related Parties, and measures to mitigate them.

7. DISCLOSURE REQUIREMENTS

The Company shall ensure that all Related Party Transactions (RPTs) and related information are disclosed in a transparent, timely, and comprehensive manner, in compliance with applicable laws and regulations, including **Regulation 23 of SEBI LODR, 2015, Section 188 of the Companies Act, 2013, and Ind AS 24 - Related Party Disclosures (or AS 18, as applicable)**.

RPT Policy Disclosure:

The Company shall make the Related Party Transaction Policy available on its website in accordance with Regulation 46 of SEBI LODR, ensuring easy access for shareholders and other stakeholders. This provides transparency on the governance framework, approval process, and monitoring mechanisms for RPTs.

Annual Report Disclosures:

All RPTs, whether material or non-material, shall be disclosed in the Notes to Accounts of the Annual Report. Such disclosures shall include details of the parties involved, nature of the transaction, monetary value, and terms, enabling shareholders to understand the commercial rationale and compliance with arm's-length principles.

Half-Yearly Disclosures for SME-Listed Entities:

In line with SME-specific requirements under SEBI LODR, all RPTs approved by the Audit Committee shall be disclosed to the stock exchanges on a half-yearly basis, along with the financial results. This

ensures that shareholders and regulators are kept informed of ongoing transactions, even if they are not material individually.

Material RPTs:

Material RPTs, as defined under SEBI LODR thresholds for SMEs, shall be disclosed with the full rationale, pricing, and terms. This enables stakeholders to assess the fairness, transparency, and arm's-length nature of significant transactions with Related Parties.

Notes and Best Practices:

1. Remuneration and sitting fees paid to directors, Key Managerial Personnel (KMP), or senior management (non-promoter) need not be separately disclosed if they are not material.
2. All disclosures shall follow best practices under RPT Industry Standards 2025, ensuring full accountability, fairness, and transparency in all Related Party dealings.

8. REVIEW OF THE POLICY

This Policy shall be reviewed by the Board of Directors at least once every three years, or earlier if required due to changes in applicable laws, regulations, accounting standards, SEBI directives, or other regulatory requirements. Reviews may also be triggered by recommendations from the Board or Audit Committee, or in response to evolving business, operational, or industry practices, including SME-specific considerations.

Any updates or amendments to the Policy shall be approved by the Board of Directors and subsequently uploaded on the Company's website to ensure transparency, accessibility, and public disclosure.

Note: The review process is intended to ensure that the Policy remains current, compliant with statutory and regulatory requirements, and aligned with best practices, including the RPT Industry Standards 2025.

9. POLICY ENFORCEMENT

Any violation of this Policy, whether by employees, directors, Key Managerial Personnel (KMP), or other officers involved in Related Party Transactions, may attract appropriate corrective measures. Such measures may include disciplinary action in accordance with the Company's HR policies and the Companies Act, 2013, reporting to regulatory authorities such as SEBI where required, imposition of financial penalties or recovery as applicable under law or internal rules, and, where necessary, cancellation, modification, or ratification of the Related Party Transaction as deemed appropriate by the Audit Committee or Board of Directors.

Note: Enforcement actions will be applied consistently, fairly, and in a manner that ensures accountability, transparency, and the protection of the interests of the Company and its stakeholders, in alignment with SME-specific compliance requirements under SEBI LODR and other applicable regulations.

10. EFFECTIVE DATE

This Policy shall come into effect from 3rd December 2025, upon approval by the Board of Directors. The Board has subsequently reviewed the Policy on 27th February 2026, and it shall remain in force until further updates are approved. In line with SEBI LODR requirements and good governance practices, the

Policy shall be reviewed at least once every three years, or earlier if necessitated by changes in laws, regulations, accounting standards, or industry practices, to ensure ongoing compliance, relevance, and alignment with SME-specific thresholds and reporting requirements.

Note: This Policy was approved by the Board of Directors in the meeting held on 3rd December 2025 and subsequently reviewed on 27th February 2026.
